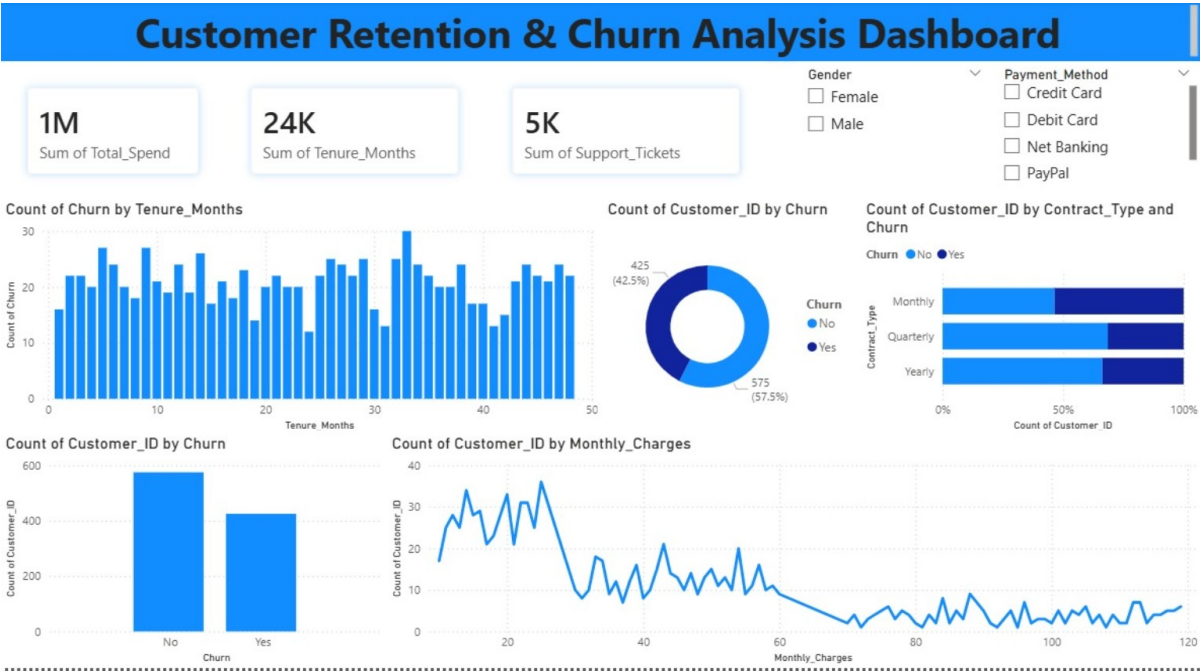


# Customer Retention & Churn Analysis Report

## Executive Summary

This report presents a comprehensive analysis of customer retention and churn behavior using a structured dashboard. The objective is to identify patterns, risk factors, and opportunities to improve customer loyalty. The analysis reveals that churn is primarily influenced by customer tenure, contract type, pricing, and service interactions. Customers with shorter tenure and those on monthly contracts are significantly more likely to churn. Additionally, higher monthly charges and increased support interactions often indicate dissatisfaction. Organizations can reduce churn by improving onboarding, enhancing customer experience, and applying targeted retention strategies.

## Dashboard Overview



## Detailed Explanation

The dashboard consolidates multiple dimensions of customer data to provide a holistic view of churn behavior. It includes key metrics such as total spend, tenure duration, and support ticket volume, which collectively represent customer engagement and satisfaction. Filters such as gender and payment method allow segmentation analysis, enabling deeper insights into specific customer groups. The visualizations help uncover relationships between variables, such as how tenure impacts churn or how contract types influence retention. This multi-dimensional approach ensures that decision-makers can identify both high-level trends and granular patterns.

## Key Performance Indicators (KPIs)

**Total Spend:** Represents overall revenue generated by customers and helps identify high-value segments.

**Tenure Months:** Indicates how long customers stay with the service, serving as a direct measure

of loyalty.

**Support Tickets:** Reflects customer issues and service demand, often correlating with dissatisfaction.

**Churn Rate:** Measures the proportion of customers who leave, serving as the primary performance metric for retention strategies.

## Chart-by-Chart Interpretation

**1. Churn by Tenure Months:** The chart shows that customers in early months exhibit higher churn frequency. This suggests that the initial experience is critical. A lack of engagement or unmet expectations during onboarding can lead to early exits.

**2. Churn Distribution:** The donut chart highlights that while a majority of customers are retained, a significant portion still churns. This indicates that although the business is stable, there is substantial room for improving retention strategies.

**3. Contract Type vs Churn:** Monthly contracts show the highest churn rates, as they provide flexibility to leave without commitment. In contrast, yearly contracts demonstrate stronger retention due to longer-term commitment and possibly better pricing incentives.

**4. Customer Count by Churn:** The comparison between churned and retained customers shows a moderate gap. This suggests that while retention is slightly stronger, churn levels are still high enough to impact long-term growth.

**5. Monthly Charges Analysis:** Customers with higher monthly charges tend to show fluctuations in count, indicating price sensitivity. Premium pricing without perceived value can lead to dissatisfaction and eventual churn.

## Key Insights

- Early-stage customers are the most vulnerable segment.
- Contract structure directly influences retention behavior.
- Pricing strategy plays a crucial role in customer satisfaction.
- Support interactions can act as early warning signals for churn.

## Strategic Recommendations

- Improve onboarding processes to enhance early customer experience.
- Introduce incentives for long-term contracts to reduce churn risk.
- Optimize pricing strategies to align value with customer expectations.
- Implement proactive customer support and feedback systems.
- Leverage predictive analytics to identify and retain at-risk customers before churn occurs.

## Tools Used

This report was generated using Python (reportlab library). The dashboard insights are derived from modern data visualization tools such as Power BI.

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